

Research Update:

French Environmental And Energy Group Veolia Affirmed At 'BBB/A-2' On Solid Plan Execution; Outlook Stable

March 14, 2025

(Editor's Note: In the article originally published on March 14, 2025, the liquidity score in the Ratings Score Snapshot was misstated. A corrected version follows.)

Rating Action Overview

- French environmental and energy group Veolia Environnement S.A. is executing on its 2024-2027 strategic plan in line with our expectations. It delivered solid 2024 operational and financial performance. The group's focus on profitable growth in water, waste, energy, and strong cost efficiency, supported S&P Global Ratings-adjusted EBITDA growth of about 3%, helped mitigate foreign exchange effects, and lowered scope effects.
- We anticipate the group will generate positive discretionary cash flow (DCF) over 2025-2027, thanks to disciplined investments at about €3.3 billion, further bolt-on acquisitions for about €1 billion partly funded by asset rotation, and an increase in dividends from €1.3 billion in 2025 up to €1.65 in 2027. The share buyback program of up to 2% of the group's shares over the period should be cash flow neutral and conditioned on the successful employee shareholding capital program.
- We have revised our assessment of Veolia's liquidity to adequate from strong to reflect large intrayear seasonal working capital needs amplified in line with Veolia's organic revenue growth. We still view the group's liquidity management as robust, highlighted by its recent refinancing plans and large cash amounts on the balance sheet.
- We affirmed our 'BBB/A-2' issuer credit ratings on Veolia.
- The stable outlook on the long-term rating indicates our view that credit metrics will remain at levels that are consistent with our 'BBB' rating, with S&P Global Ratings-adjusted funds from operations (FFO) to debt of about 22%, a debt increase that totals about €3.0 billion-€3.5 billion over 2025-2027, and debt to EBITDA just above 3.5x.

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Rating Action Rationale

The group is on track to deliver on its 2024-2027 strategic plan focusing on cost efficiency.

Veolia's solid financial performance in 2024 continues to highlight the group's strong business mix and the benefits from its diversified geographic footprint. Although revenue declined by 1.5% compared with a high 2023 base year, due to lower energy prices, adverse foreign exchange effects, and lower scope, reported EBITDA grew by almost 3.0%, thanks to results of the cost efficiency plan (46% retention of €398 million cost savings) and further Suez synergies. Revenue of the water and waste divisions performed strongly, on constant scope and foreign exchange effects, thanks to positive tariff reviews and indexation on municipal water, positive dynamics in water technologies and hazardous waste, and resilient volumes and strong pricing in solid waste despite macro headwinds. Energy business through the district heating business was hit by lower energy prices, which lowered the cogeneration contribution. In 2025, we expect adjusted EBITDA growth of approximately 5%-6% to be driven by further cost efficiencies and the remaining cost synergies from the Suez acquisition (about €100 million in 2025), while organic revenue should only grow by about 1%-3%.

Sustained 2025-2027 capital deployment will support cash flow generation while keeping DCF

positive. This is because of relatively short payback capital expenditure (capex). Of the about €3.3 billion annual capex (without considering finance leases), €2.0 billion-€2.5 billion will relate to growth. We expect Veolia will invest about 50% of capex in booster subdivisions (including water technologies and hazardous waste) and 50% in infrastructure-type activities, including water concessions, municipal waste, and district heating. Investments will remain selective, with a minimum rate of return fixed at the weighted average cost of capital plus 400 basis points. Additionally, the group will target opportunistic and nontransformative acquisitions up to €1 billion per year, mitigated by noncore divestments up to €500 million. Because 2024 was marked by lower asset rotation and higher financial divestitures (€1.037 billion including the North American Regeneration Services for €580 million and the French SADE construction business for €198 million), we forecast a catch-up effect through an overall higher net acquisition envelope of €1.1 billion for 2025.

Over 2025-2027, we expect Veolia to maintain credit headroom on the back of supportive

EBITDA growth, disciplined investments, and bolt-on acquisitions. We forecast adjusted FFO to debt will remain at about 22%, well within our expectation of 18%-23% for a 'BBB' rating, which factors in cash flow leakages related to minorities (15.6% of equity comes from noncontrolling interests in 2024). Because the subsidiaries where the group operates with minorities are more leveraged than the group on a consolidated basis, we view our metrics benchmarking on consolidated figures as conservative. From a business perspective, by contrast, the largest earnings' contribution comes from municipal regulated water in the U.S., Chile, long-term water concession in Spain, and Polish district heating activities, which means there is a dilution of regulated or long-term contracted cash flows that is not captured in the analysis on consolidated basis.

We expect leverage to remain at about 3.5x as S&P Global Ratings-adjusted EBITDA increases above €7 billion by 2026 and S&P Global Ratings-adjusted debt increases by €3.3 billion to €25.4 billion at the end of 2027 as DFC remains positive every year, after annual dividends of about €1.30 billion-€1.65 billion and working capital outflows of about €200 million.

We still view Veolia's financial policy in line with the 'BBB' rating, allowing for a leverage of up to 3.0x, based on reported data. The focus on cash flow generation and disciplined investments support DCF and credit metrics, in turn underpinning the 'BBB' rating. Dividends will increase annually by a steady high 10%-12% over the coming three years to reach €1.65 billion in 2027. This will be combined with share buybacks that we forecast at up to €350 million per year to compensate for the employee shareholding program, both quasi cash flow neutral. Despite shareholder distributions above EBITDA growth of about 5%-6%, we view this as in line with the sector average and as manageable, considering a dividends-to-FFO ratio of 29% projected for 2025.

Outlook

The stable outlook reflects our expectation that Veolia's portfolio of activities will remain balanced, with municipal water, municipal waste, and district heating accounting for almost 50% of its earnings, sustaining predictable cash flow generation. Based on reported EBITDA, which is expected to grow by 4%-6% annually thanks to further costs efficiency, FFO to debt will remain at about 21%-22% over 2025-2027, including contained debt-funded acquisitions.

Downside scenario

We could lower the rating if the group's adjusted FFO to debt does not remain sustainably above 18%, for example because of higher-than-expected debt-funded acquisitions or--less likely--a sharp deterioration in profitability and operating performance that could result from adverse commercial developments or a weaker performance of the more macroeconomic-sensitive waste activities. We could also view negatively a business risk dilution that prompted us to switch to the standard volatility table and an ever-higher increase in total shareholder remuneration.

Upside scenario

We could upgrade Veolia if its financial profile strengthened to support a higher rating. This could happen if capital allocation led to a higher-than-anticipated return on investments and debt-financed growth investments remained contained so that FFO to debt increased on a sustainable basis to about 23% and leverage remained below 3.5x. This would assume regulated and long-term contracted activities to continue contributing about half of the group's EBITDA.

Company Description

Veolia operates globally across three main businesses: Water services, waste services, and energy services.

- Water services integrate drinking water and wastewater activities, such as water distribution, water and wastewater treatment, industrial process water, and the manufacturing of water treatment equipment and technologies.
- Waste services collect, process, and dispose of household, commercial, and industrial waste.
- Energy services produce renewable energy comprising heat and electricity generated primarily from waste. They also incorporate district heating and cooling networks, as well as thermal and multi-technical services.

Water services have been Veolia's core business since the group's inception in 1853. Since 2003, the group has increased its projects in waste, especially hazardous waste. In 2022, Veolia acquired Suez, which enabled it to increase its global presence and enhance its strong positioning throughout its business lines across all geographies.

In 2024, Veolia reported revenue of €44.7 billion, S&P Global Ratings-adjusted EBITDA of €6.3 billion, and net debt of €22.1 billion. In 2024, water services represented 49% of EBITDA, waste services 31%, and energy services 20%. Geographically, about 21% of EBITDA came from France and European special waste, 39% from the rest of Europe, and 30% from the rest of the world and 9% in water technologies.

Our Base-Case Scenario

Assumptions

- 1%-5% water revenue growth over the next three years, driven by tariff increases in municipal water, by a large and diversified pipeline in the water technologies segment, notably in the U.S., complemented by external growth in the technologies and health care subsegments.
- 1%-3% waste revenue growth, driven primarily by significant project launches in hazardous waste and resilient solid waste revenue, with resilient volumes and strong pricing compensating for any weakness in recycled materials prices.
- Energy revenue to decline by 4%-6% to reflect further energy price normalization as current hedges on higher captured prices elapse.
- Increasing EBITDA margins to around 15% from 14%, supported on top of revenue growth by costs savings and Suez synergies. The water business will continue to contribute about 50% of EBITDA, waste about 31% and energy 19% by the end of 2027.
- Annual cost savings of €350 million (with a retention rate of about 45%-50% in our forecast), combined with additional cumulative cost synergies that will total €530 million by 2025, completing the integration of Suez.
- Tax rate of 26% over 2025-2027.
- Growing cash interest to about €750 million in 2025 (excluding International Financial Reporting Standard 16) up by about €50 million to reflect a higher refinancing rate and higher gross debt relative to 2024.
- Annual capex of about €3.3 billion, out of which €1.9 billion is for maintenance; €1.5 billion is for growth on existing contracts (a large portion on municipal water), and the remainder on the decarbonization of district heating networks in Central and Eastern Europe (for about €125 million) and on the booster segments as defined by the group (hazardous waste, water technologies).
- Acquisitions net of nonstrategic assets disposals of about €500 million per year.
- Ordinary dividends, including to minorities, to increase to about €1.7 billion in 2027, from €1.3 billion in 2024, based on dividend per share growth of about 10%-12% in line with net income growth.
- Share repurchases between €300 million-€350 million offsetting employee shareholding program benefits for the same amount, over 2025-2027, being cash flow neutral.

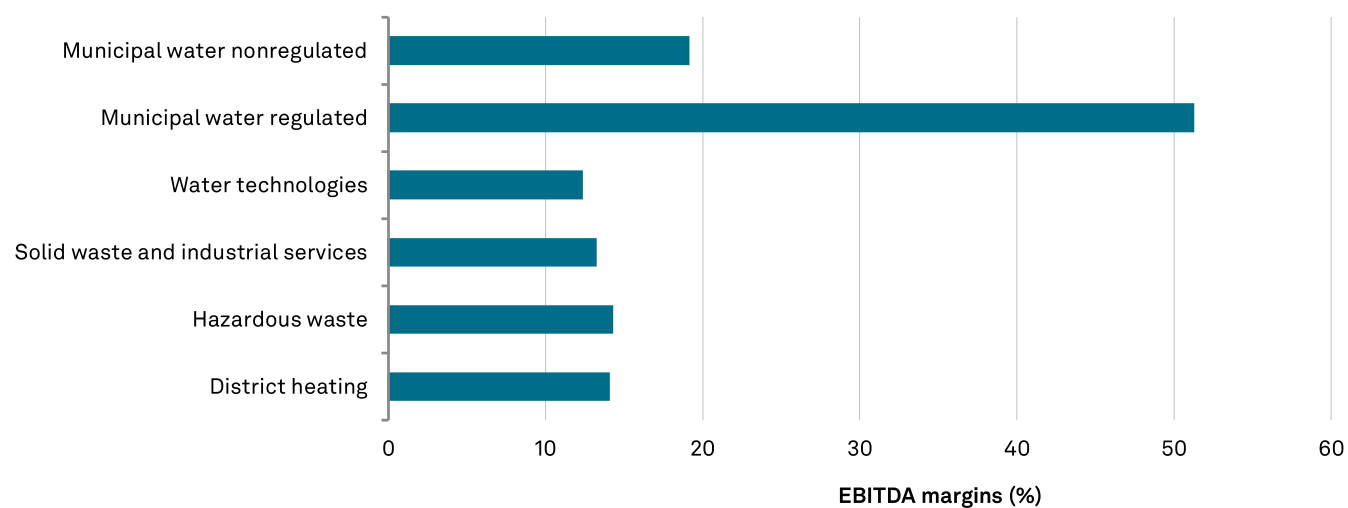
Key metrics

Veolia Environnement S.A.--Forecast summary

(Bil. €)	--Fiscal year ends Dec. 31--				
	2023a	2024a	2025e	2026f	2027f
EBITDA	6.1	6.3	6.5 - 6.7	6.9 - 7.1	7.3 - 7.5
Debt	22.5	22.1	23.7-23.9	24.5 - 24.7	25.3-25.5
Capital expenditure	3.1	2.9	3.2 - 3.4	3.2 - 3.4	3.2 - 3.4
Dividends	1.3	1.3	1.2 - 1.4	1.4 - 1.6	1.6 - 1.8
Adjusted ratios					
Debt/EBITDA (x)	3.7	3.5	3.4 - 3.9	3.3 - 3.8	3.2 - 3.7

Fund from operations/debt (%)
All figures are adjusted by S&P Global Ratings, unless stated as reported. a--Actual. e--Estimate. f--Forecast.

Veolia Environnement S.A. EBITDA margin per division



Source: S&P Global Ratings.
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Liquidity

We assess Veolia's liquidity as adequate, from strong previously, based on our expectations that liquidity sources will not consistently exceed uses by 1.5x or more, including about 1.4x over the 12 months started Jan. 1, 2025. We now incorporate in our calculation an intrayear cumulative

working capital need of about €1 billion, which reflects the structural seasonality of Veolia's activities.

We continue to view the group's good access to capital markets, proactive liability management, and solid relationships with banks as supporting its liquidity position. We understand no debt is subject to financial covenants.

Principal liquidity sources as of Jan. 1, 2025:

- About €11.1 billion in available cash or highly liquid money market funds;
- About €5.5 billion of available committed credit lines maturing beyond 12 months; and
- Our forecast for FFO of about €4.3 billion for the next 12 months.

Principal liquidity uses as of Jan. 1, 2025:

- Debt repayment of about €9.1 billion over the next 12 months;
- Our estimate of €3.3 billion in annual capex over the next 12 months;
- Working capital outflow of €200 million;
- Intra-year working capital outflow of €1 billion;
- Annual dividends, including hybrid coupons, of about €1.3 billion;
- Our estimate of acquisitions of about €1 billion; and
- Share repurchases of around €350 million almost neutralized by the benefits of employee shareholding program.

Issue Ratings – Subordination Risk Analysis

Capital structure

Veolia's debt currently comprises senior unsecured debt--mostly bonds--and €3.6 billion in hybrids. All debt, including the hybrids, are at Veolia's level, so we apply no notching.

Analytical conclusions

We rate Veolia's financial debt at the same level as Veolia's current stand-alone financial debt, namely at 'BBB'. The hybrids are rated two notches below at 'BB+'.

Ratings Score Snapshot

Issuer credit rating	BBB/Stable/A-2
Business risk	Strong
Country risk	Intermediate
Industry risk	Low
Competitive position	Strong
Financial risk	Significant

Issuer credit rating	BBB/Stable/A-2
Cash flow/leverage	Significant
Anchor	bbb
Modifiers:	
Diversification/portfolio effect	Neutral (no impact)
Capital structure	Neutral (no impact)
Financial policy	Neutral (no impact)
Liquidity	Adequate
Management and governance	Neutral (no impact)
Comparable rating analysis	Neutral (no impact)
Stand-alone credit profile	bbb

Related Criteria

- General Criteria: Hybrid Capital: Methodology And Assumptions, Feb. 10, 2025
- Criteria | Corporates | General: Sector-Specific Corporate Methodology, April 4, 2024
- Criteria | Corporates | General: Corporate Methodology, Jan. 7, 2024
- Criteria | Corporates | General: Methodology: Management And Governance Credit Factors For Corporate Entities, Jan. 7, 2024
- General Criteria: Environmental, Social, And Governance Principles In Credit Ratings, Oct. 10, 2021
- General Criteria: Group Rating Methodology, July 1, 2019
- Criteria | Corporates | General: Corporate Methodology: Ratios And Adjustments, April 1, 2019
- General Criteria: Methodology For Linking Long-Term And Short-Term Ratings, April 7, 2017
- Criteria | Corporates | General: Methodology And Assumptions: Liquidity Descriptors For Global Corporate Issuers, Dec. 16, 2014
- General Criteria: Country Risk Assessment Methodology And Assumptions, Nov. 19, 2013
- General Criteria: Methodology: Industry Risk, Nov. 19, 2013
- General Criteria: Principles Of Credit Ratings, Feb. 16, 2011

Ratings List

Ratings Affirmed

Veolia Environnement S.A.

Issuer Credit Rating	BBB/Stable/A-2
Veolia Environnement S.A.	
Senior Unsecured	BBB

Ratings Affirmed

Junior Subordinated	BB+
Commercial Paper	A-2

Certain terms used in this report, particularly certain adjectives used to express our view on rating relevant factors, have specific meanings ascribed to them in our criteria, and should therefore be read in conjunction with such criteria. Please see Ratings Criteria at www.spglobal.com/ratings for further information. A description of each of S&P Global Ratings' rating categories is contained in "S&P Global Ratings Definitions" at <https://disclosure.spglobal.com/ratings/en/regulatory/article/-/view/sourceld/504352>. Complete ratings information is available to RatingsDirect subscribers at www.capitaliq.com. All ratings affected by this rating action can be found on S&P Global Ratings' public website at www.spglobal.com/ratings. Alternatively, call S&P Global Ratings' Global Client Support line (44) 20-7176-7176.

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